

Table 31.1 Identification Guidelines

Characteristic	Discussion
Appearance	A two-peak Adam & Eve pattern with peaks topping out near the same price. Price rises to the first peak and declines after the second one.
Price trend	Price trends upward leading to the pattern and should not form a third peak, nor should the twin peaks be part of the same consolidation pattern. Look for two distinct minor highs.
Valley between tops	Patterns with a large dip perform better than short ones (median dip is 10%).
Top high price	Top-to-top price variation is small. The median is 1%.
Top separation	Tops should be at least a few weeks apart, but allow variations. The median width is 23 days.
Price decline after right top	Price must close below the confirmation price without first rising above the right top high.
Volume	Usually higher on the left top.
Breakout direction, confirmation	Breakout is downward when price closes below the lowest valley between the two peaks. A downward breakout confirms the pattern as a valid double top.